

COMMITTEE ON COMMERCE
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1254
(Reference to Senate engrossed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 23-107, Arizona Revised Statutes, is amended to
3 read:

4 23-107. General powers

5 A. The commission has full power, jurisdiction and authority to:

6 1. Formulate and adopt rules and regulations for effecting the
7 purposes of this article.

8 2. Administer and enforce all laws for the protection of life,
9 health, safety and welfare of employees in every case and under every law
10 when such duty is not specifically delegated to any other board or
11 officer, and, when such duty is specifically delegated, to counsel, advise
12 and assist in the administration and enforcement of such laws and for such
13 purposes may conduct investigations.

14 3. Promote the voluntary arbitration, mediation and conciliation of
15 disputes between employers and employees.

16 ~~4. License and supervise the work of private employment offices,
17 bring together employers seeking employees and working people seeking
18 employment, and make known the opportunities for employment in the state.~~

19 ~~5.~~ 4. Collect, collate and publish all statistical and other
20 information relating to employees, employers, employments and places of
21 employment with other appropriate statistics.

22 ~~6.~~ 5. Act as the regulatory agency ~~insuring~~ ENSURING that workers'
23 compensation carriers are processing claims in accordance with chapter 6
24 of this title.

25 ~~7.~~ 6. Provide nonpublic, confidential or privileged documents,
26 materials or other information to another state, local or federal
27 regulatory agency for the purpose of the legitimate administrative needs
28 of the programs administered by that agency if the recipient agency agrees
29 and warrants that it has the authority to maintain and will maintain the
30 confidentiality and privileged status of the documents, materials or other
31 information.

32 ~~8.~~ 7. Receive nonpublic documents, materials and other information
33 from another state, local or federal regulatory agency to properly
34 administer programs of the commission. The commission shall maintain as
35 confidential or privileged any document, material or other information
36 that is identified by the exchange agency as confidential or privileged
37 under the laws of the jurisdiction that is the source of the document,
38 material or other information.

1 ~~9.~~ 8. Enter into agreements that govern the exchange of nonpublic
2 documents, materials and other information that are consistent with
3 paragraphs ~~7~~ 6 and ~~8~~ 7 OF THIS SUBSECTION. The commission may request
4 nondisclosure of information that is identified as privileged or
5 confidential. Any disclosure pursuant to paragraph ~~7~~ 6 or ~~8~~ 7 OF THIS
6 SUBSECTION or this paragraph is not a waiver of any applicable privilege
7 or claim of confidentiality in the documents, materials or other
8 information.

9 B. ~~Upon~~ ON petition by any person that any employment or place of
10 employment is not safe or is injurious to the welfare of any employee, the
11 commission has power and authority, with or without notice, to make
12 investigations necessary to determine the matter complained of.

13 C. The members of the commission may confer and meet with officers
14 of other states and officers of the United States on matters pertaining to
15 their official duties.

16 D. Notwithstanding any other law, the commission may protect from
17 public inspection the financial information that is received from a
18 private entity that applies to self-insure or that renews its
19 self-insurance plan pursuant to section 23-961, subsection A if the
20 information is kept confidential by the private entity in its ordinary and
21 regular course of business.

22 Sec. 2. Section 23-110, Arizona Revised Statutes, is amended to
23 read:

24 23-110. Industrial commission of Arizona resource officer

25 A. The director of the industrial commission OF ARIZONA shall
26 employ ~~an ombudsman~~ A RESOURCE OFFICER to assist recipients of ~~workers'~~
27 ~~compensation~~ benefits UNDER THE INDUSTRIAL COMMISSION OF ARIZONA'S
28 PURVIEW.

29 B. The ~~ombudsman~~ RESOURCE OFFICER shall not provide legal advice
30 but may provide information about the workers' compensation system and
31 rules governing commission proceedings and may assist in clarifying the
32 methods used to determine a person's workers' compensation benefits.

33 C. THE RESOURCE OFFICER MAY ALSO PROVIDE INFORMATION ABOUT THE
34 LABOR PROGRAMS UNDER THE INDUSTRIAL COMMISSION OF ARIZONA'S PURVIEW AND
35 RULES GOVERNING THE COMMISSION PROCEEDINGS FOR THESE MATTERS.

36 Sec. 3. Section 23-401, Arizona Revised Statutes, is amended to
37 read:

38 23-401. Definitions

39 In this article, unless the context otherwise requires:

40 1. "Board" means a review board established pursuant to section
41 23-422.

42 2. "CHIEF" MEANS THE CHIEF OF THE DIVISION.

43 ~~2.~~ 3. "Commission" means the industrial commission of Arizona.

44 ~~3.~~ 4. "De minimis violation" means a condition or practice that,
45 although undesirable, has no direct or immediate relationship to safety or
46 health.

47 ~~4. "Director" means the director of the division.~~

1 5. "Division" means the division of occupational safety and health
2 within the commission.

3 6. "Employee" means any person performing services for an employer,
4 including any person defined as an employee pursuant to section 23-901,
5 except employees engaged in household domestic labor.

6 7. "Employer":

7 (a) Means any individual or type of organization, including this
8 state and all political subdivisions of this state, that has in its employ
9 one or more individuals performing services for it in employment. ~~and~~

10 (b) Includes self-employed persons. ~~, but~~

11 (c) Does not include employers of household domestic labor.

12 8. "Interested party" means the commission and the commission's
13 agents, the employer and the affected employees of such employer.

14 9. "Model system" means an exemplary and ~~voluntary~~ VOLUNTARILY
15 implemented worker safety and health management system that BOTH:

16 (a) Exceeds basic compliance with occupational safety and health
17 laws and regulations.

18 (b) Meets the requirements adopted by the division pursuant to
19 section 23-432.

20 10. ~~Non-serious~~ NONSERIOUS violation" means a condition or
21 practice in a place of employment that does not constitute a serious
22 violation but that violates a standard or regulation and has a direct or
23 immediate relationship to safety or health, unless the employer did not,
24 and could not with the exercise of reasonable diligence, know of the
25 presence of such condition or practice.

26 11. "Program" means the voluntary protection program or any other
27 program under which the ~~director~~ CHIEF recognizes and partners with
28 workplaces that have implemented a model system.

29 12. "Recognized hazard" means an unsafe or unhealthful condition or
30 practice recognized as such with respect to the standard of knowledge in
31 the industry.

32 13. "Regulation" means any written regulation of occupational
33 safety and health governing places of employment formulated pursuant to
34 section 23-410, exclusive of standards, and ~~shall have~~ HAS the same
35 meaning as and ~~include~~ INCLUDES the term "rule".

36 14. "Serious violation" means a condition or practice in a place of
37 employment that violates a standard, A regulation or section 23-403,
38 subsection A and produces a substantial probability that death or serious
39 physical harm could result, unless the employer did not, and could not
40 with the exercise of reasonable diligence, know of the presence of such
41 condition or practice.

42 15. "Standard" means any occupational safety and health standard
43 that has been adopted and promulgated by a nationally recognized
44 standards-producing organization or the federal government and ~~shall have~~
45 HAS the same meaning as, ~~and~~ ~~include~~ INCLUDES the term "code".

46 16. "Trade secret" means a plan or process, tool, mechanism, or
47 compound not patented, known only to its owner and those of the owner's

1 employees to whom it is necessary to confide it, or other information that
2 the employer treats as confidential and has a reasonable basis for doing
3 so.

4 17. "Workplace" means a location or site wherein work, either
5 temporary or permanent, is being conducted in connection with an industry,
6 trade or business.

7 Sec. 4. Section 23-405, Arizona Revised Statutes, is amended to
8 read:

9 23-405. Duties and powers of the industrial commission
10 relative to occupational safety and health

11 The commission shall:

12 1. Administer ~~the provisions of~~ this article through the division
13 ~~of occupational safety and health.~~

14 2. Appoint the ~~director~~ CHIEF of the division ~~of occupational~~
15 ~~safety and health.~~

16 3. Cooperate with the federal government to establish and maintain
17 an occupational safety and health program as effective as the federal
18 occupational safety and health program.

19 4. ~~Promulgate~~ ADOPT standards and regulations as required, pursuant
20 to section 23-410, and ~~promulgate~~ ADOPT such other rules and regulations
21 as are necessary for the efficient functioning of the division.

22 5. Have the authority to issue reasonable temporary, experimental
23 and permanent variances pursuant to sections 23-411 and 23-412.

24 6. Exercise such other powers as are necessary to carry out the
25 duties and requirements of this article.

26 Sec. 5. Section 23-406, Arizona Revised Statutes, is amended to
27 read:

28 23-406. Division of occupational safety and health; chief;
29 appointment; qualifications; compensation

30 A. There shall be a division of occupational safety and health
31 within the ~~industrial~~ commission.

32 B. The ~~director~~ CHIEF of the division ~~of occupational safety and~~
33 ~~health~~ shall be the administrative head of the division under the control
34 of the commission. The ~~director~~ CHIEF shall be appointed by the
35 commission and shall serve at the pleasure of the commission.

36 C. The ~~director~~ CHIEF shall be:

37 1. A person who has been employed in the safety or health
38 profession a minimum of ten years in the aggregate and is currently
39 engaged in the broad practice of safety or health or one of its relevant
40 specialties or holds a degree from an accredited college or university
41 appropriate to the field of safety and health and has a minimum of five
42 years' experience in the broad practice of safety or one of its relevant
43 specialties, and has been registered or licensed by a state agency as a
44 professional appropriate to ~~his~~ THE PERSON'S field of safety and health or
45 has been certified as competent within the broad practice of safety or
46 health or one of its relevant specialties by an organization recognized as

1 qualified by the American society of safety engineers or American
2 industrial hygiene association.

3 2. Competent to deal with the planning, design and needs of
4 business operations as the use of such operations relates to the safe,
5 convenient and economic performance of their business functions, with not
6 less than three years' experience in an administrative capacity in the
7 field of occupational safety and health.

8 D. The salary of the ~~director~~ CHIEF shall be determined pursuant to
9 section 38-611.

10 Sec. 6. Section 23-408, Arizona Revised Statutes, is amended to
11 read:

12 23-408. Inspection of places and practices of employment;
13 closing conference; prohibitions; employee
14 initiation of investigation; violation;
15 classification; injunction

16 A. Except as prescribed in section 23-432, subsection E, the
17 ~~director~~ CHIEF of the division ~~of occupational safety and health~~, or the
18 ~~director's~~ CHIEF'S authorized representative, on presentation of
19 credentials, shall be ~~permitted~~ ALLOWED to inspect places of employment,
20 question employees and investigate conditions, practices or matters in
21 connection with employment subject to this article at reasonable times, as
22 the ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative may
23 deem appropriate to determine whether any person has violated ~~any~~
24 ~~provision of~~ this article or any rule or regulation issued pursuant to
25 this article or that may aid in the enforcement of this article. An
26 employer or other person shall not refuse to admit the ~~director~~ CHIEF or
27 the ~~director's~~ CHIEF'S authorized representatives to any place or refuse
28 to ~~permit~~ ALLOW the inspection if the proper credentials are presented and
29 the inspection is made at a reasonable time.

30 B. In making inspections and investigations, the ~~director~~ CHIEF or
31 the ~~director's~~ CHIEF'S authorized representative may require the
32 attendance and testimony of witnesses and the production of evidence under
33 oath. Witnesses shall be paid the same fees and mileage paid to witnesses
34 in the courts of this state. If any person fails or refuses to obey such
35 an order, the ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
36 representative may apply to any superior court in any county where the
37 person is found, resides or transacts business for an order requiring the
38 person to produce evidence and to give testimony as ordered. Failure to
39 obey such an order is contempt of court.

40 C. The ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
41 representative shall inspect at least every six months any operation that
42 mixes rock, sand, gravel or similar materials with water and cement or
43 with asphalt and that is not included in the definition of mine in section
44 27-301. The ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized
45 representative shall monitor and work with the mine inspector only to the
46 extent necessary to ensure this state's compliance with federal
47 occupational safety and health act standards, (P.L. 91-596).

1 D. Notice of an intended inspection shall not be given to an
2 employer before the time of actual entry on the workplace, except by
3 specific authorization by the ~~director~~ CHIEF.

4 E. A representative of the employer and a representative authorized
5 by the employer's employees shall be given an opportunity to accompany the
6 ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative during
7 the physical inspection of any workplace for the purpose of aiding the
8 inspection. ~~Where~~ IF there is no authorized employee representative, the
9 ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative shall
10 consult a reasonable number of employees concerning matters of safety and
11 health in the workplace.

12 F. The ~~director~~ CHIEF may not allow any individual to accompany a
13 compliance safety and health officer when conducting inspections for the
14 ~~industrial~~ commission ~~of Arizona~~ pursuant to this section unless the
15 individual is any of the following:

16 1. An employee of the employer being inspected.

17 2. A safety consultant, attorney or other agent of the employer or
18 a person present with the consent of the employer.

19 3. The authorized employee representative. For the purposes of
20 this paragraph, "authorized employee representative" means an agent of a
21 labor organization that has a collective bargaining relationship with the
22 employer who represents employees who are members of the collective
23 bargaining unit.

24 4. A third party who is required by law to accompany the compliance
25 safety and health officer to ensure that the state plan is at least as
26 effective as the standards of the occupational safety and health act of
27 1970 (P.L. 91-596; 84 Stat. 1590).

28 5. Otherwise required by law to be present.

29 G. The employer may require the following conditions for a third
30 party who accompanies a compliance safety and health officer during an
31 inspection pursuant to subsection F of this section:

32 1. That not more than one individual be present unless otherwise
33 required by law.

34 2. That the individual follow all workplace safety rules regarding
35 personal protective equipment applicable to all visitors for the
36 workplace.

37 3. That the individual ~~is required to~~ complete any safety trainings
38 applicable to all visitors of the workplace.

39 4. That the individual sign a confidentiality agreement with
40 respect to the use of confidential information that is learned during the
41 inspection that has the same terms as required for other visitors.

42 5. That nonemployees, other than the compliance safety and health
43 officer, ~~are~~ BE prohibited from entering areas that contain trade secrets.
44 The compliance safety and health officer may consult with a reasonable
45 number of employees who work in the identified trade secret area on
46 matters of safety and health, even if those employees are not joining the
47 inspection. Information obtained by the commission or its representatives

1 during the inspection that contains or that may reveal a trade secret is
2 subject to section 23-426.

3 H. Except as provided in section 23-426, information and facts
4 developed by the commission, the ~~director~~ CHIEF or any employee of the
5 commission or division in the course of any inspection or investigation
6 are public records subject to inspection pursuant to title 39, chapter 1,
7 article 2, if, pursuant to section 23-415, subsection D, the inspection or
8 investigation has been closed or a citation has been issued. Such
9 information and facts shall not be admissible in any court or before any
10 administrative body except pursuant to this article. Notwithstanding this
11 subsection, the ~~director~~ CHIEF or any commission employee is not required
12 to appear at any deposition, trial or hearing concerning a division
13 inspection or investigation unless the appearance is related to a hearing
14 held pursuant to this article. Hearings held pursuant to this article are
15 open to the public.

16 I. During the inspection or investigation and in deciding whether
17 to recommend and issue a citation, the ~~director~~ CHIEF or the ~~director's~~
18 CHIEF'S authorized representative and the commission may consider whether
19 an employee has committed misconduct by violating the employer's policies,
20 if any, regarding substance abuse while working, as evidenced by the
21 results of testing for substance abuse or other evidence of impairment
22 while working.

23 J. An employee of the division or the commission may not:

24 1. Before, during or after an inspection or investigation,
25 communicate to an employer that the employer should not be represented by
26 an attorney or that the employer may be treated more favorably by the
27 division or the commission if the employer is not represented by an
28 attorney.

29 2. Conduct an audio recording of an oral statement provided during
30 an interview without the knowledge and consent of the person being
31 interviewed. The employee of the division or the commission shall inform
32 the person being interviewed of the person's right to receive a copy of
33 the recorded oral statement within a reasonable time.

34 3. Obtain a written statement during an interview without informing
35 the person of the person's right to receive a copy of the written
36 statement within a reasonable time.

37 K. An employee or a representative of employees who believes that a
38 violation of a safety or health standard or regulation exists that
39 threatens physical harm or that an imminent danger exists may request an
40 investigation by giving notice to the ~~director~~ CHIEF or the ~~director's~~
41 CHIEF'S authorized representative of the violation or danger. Any notice
42 shall be in writing, set forth with reasonable particularity the grounds
43 for the notice and be signed by the employees or representative of the
44 employees. On the request of the employee giving the notice, the
45 employee's name and the names of other employees referred to in the notice
46 shall not appear on any copy of the notice or any record published,
47 released or made available. If on receipt of the notice the ~~director~~

1 CHIEF determines that there are reasonable grounds to believe that the
2 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
3 in accordance with this article as soon as practicable to determine if the
4 violation or danger exists. If the ~~director~~ CHIEF determines there are no
5 reasonable grounds to believe that a violation or danger exists, the
6 ~~director~~ CHIEF shall notify the employees or representative of the
7 employees in writing of the determination.

8 L. Any person who violates ~~any provision of~~ this section is guilty
9 of a class 2 misdemeanor.

10 M. The commission, or the commission's authorized representative,
11 in addition to initiating an action under subsection K of this section,
12 may file in the superior court in the county where the inspection was
13 refused a verified complaint against an employer who violates subsection A
14 of this section and request an injunction against continued refusal to
15 ~~permit~~ ALLOW an inspection.

16 N. At least thirty days before the ~~industrial~~ commission ~~of Arizona~~
17 submits the state plan proposal or proposed adoption to the United States
18 occupational safety and health administration, the commission shall submit
19 the state plan proposal or proposed adoption to the joint legislative
20 audit committee, which may review and recommend that the commission amend
21 the state plan proposal or proposed adoption.

22 Sec. 7. Section 23-409, Arizona Revised Statutes, is amended to
23 read:

24 23-409. Advisory committees

25 A. The commission shall create an occupational safety and health
26 advisory committee to assist the commission in drafting standards and
27 regulations. The committee may be asked to perform other functions as may
28 be necessary. The committee shall be appointed by the commission and
29 shall be composed of a reasonably balanced representation of regulated
30 industries, including agriculture, and labor and other persons
31 knowledgeable in safety and health and shall serve at the will of the
32 commission. The commission may establish other committees as it deems
33 necessary. The advisory committees may be paid their reasonable and
34 necessary travel and other expenses in accordance with standard travel
35 regulations.

36 B. The ~~director~~ CHIEF shall be an ex officio member of any advisory
37 committee established pursuant to this section.

38 Sec. 8. Section 23-415, Arizona Revised Statutes, is amended to
39 read:

40 23-415. Citations

41 A. If the ~~director~~ CHIEF, following an inspection or investigation
42 determines that there is reasonable cause to believe that ~~A~~ violation
43 exists ~~he~~, THE CHIEF shall with reasonable promptness issue a citation to
44 the employer. Each citation shall be in writing and shall contain the
45 following:

1 1. A particular description of the nature of the violation,
2 including a reference to the provision of this article, or of any standard
3 or regulation alleged to have been violated.

4 2. A reasonable time for the abatement of the violation.

5 3. A notice that the employer may request a hearing pursuant to
6 section 23-420 if ~~he~~ THE EMPLOYER is aggrieved by the citation.

7 B. A certified mail delivery receipt or a signed verification of
8 delivery in person shall be prima facie evidence of receipt of a citation.

9 C. Each citation issued under this section or a copy or copies
10 ~~thereof~~ OF EACH CITATION shall be prominently posted at or near each place
11 a violation referred to in the citation existed.

12 D. ~~No~~ A citation may NOT be issued after the expiration of a period
13 of six months from the date of the inspection or investigation ~~which~~ THAT
14 produced evidence of the violation.

15 Sec. 9. Section 23-417, Arizona Revised Statutes, is amended to
16 read:

17 23-417. Enforcement procedure

18 A. If the ~~director~~ CHIEF, following an inspection or investigation,
19 issues a citation pursuant to section 23-415 the ~~director~~ CHIEF, within a
20 reasonable time after termination of the inspection or investigation,
21 shall notify the employer by mail of any penalty proposed to be assessed
22 pursuant to section 23-418 and that the employer has fifteen working days
23 within which to notify the ~~director~~ CHIEF in writing if the employer
24 wishes to contest the citation or proposed assessment of penalty. If the
25 employer fails to notify the ~~director~~ CHIEF in writing within fifteen
26 working days ~~of~~ AFTER receipt of the notice that the employer intends to
27 contest the citation or penalty and a notice is not filed by any employee
28 or representative of employees pursuant to subsection D of this section
29 within such time, the citation and the assessment, as proposed, shall be a
30 final order of the commission and not subject to review by any court or
31 agency, except that the ~~director~~ CHIEF may excuse any late notification to
32 contest a citation only if the employer to whom the notice was sent shows
33 by clear and convincing evidence that the notice was not received.

34 B. The period allowed for correction of a violation shall not begin
35 to run until the entry of a final order in the case of any review
36 proceedings pursuant to this section initiated by the employer in good
37 faith and not solely for delay or avoidance of penalties. If the division
38 has reason to believe an employer has failed to correct a violation for
39 which a citation has been issued within the period allowed, the ~~director~~
40 CHIEF shall notify the employer by mail of such failure, of the penalty
41 proposed to be assessed pursuant to section 23-418 and that the employer
42 has fifteen working days within which to notify the ~~director~~ CHIEF in
43 writing if the employer wishes to contest the notification or proposed
44 assessment of penalty. If the employer fails to notify the ~~director~~ CHIEF
45 in writing within fifteen working days of receipt of the notice that the
46 employer intends to contest the notice or penalty, the notice and

1 assessment, as proposed, shall be deemed a final order of the commission
2 and not subject to review by any court or agency.

3 C. Any employer who corrects the violations for which a citation
4 was issued within the period allowed shall so notify the ~~director~~ CHIEF in
5 writing.

6 D. Any affected employee or employee representative may request a
7 hearing to appeal the period allowed an employer to abate a particular
8 violation pursuant to section 23-420 if the affected employee or employee
9 representative files the appeal with the ~~director~~ CHIEF within the
10 abatement period allowed in the citation or within fifteen days after the
11 date of receipt of the citation, whichever is shorter.

12 E. On a showing by an employer of a good faith effort to comply
13 with the abatement requirements of a citation, and that abatement has not
14 been completed because of factors beyond the reasonable control of the
15 employer, the commission or its authorized designee, after an opportunity
16 for a hearing as provided in section 23-420, shall issue an order
17 affirming or modifying the abatement requirements in such citation. The
18 rules of procedure prescribed by the commission shall provide affected
19 employees or representatives of affected employees an opportunity to
20 participate as parties to hearings under this subsection.

21 Sec. 10. Section 23-418, Arizona Revised Statutes, is amended to
22 read:

23 23-418. Penalties; violation; classification

24 A. Any employer who wilfully or repeatedly violates the
25 requirements of section 23-403 or any standard or regulation adopted
26 pursuant to section 23-410 or 23-414 or this article may be assessed a
27 civil penalty for each wilful violation of not more than the maximum civil
28 penalty, but not less than the minimum civil penalty, for wilful or
29 repeated violations adopted by the United States occupational safety and
30 health administration pursuant to the federal civil penalties inflation
31 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

32 B. Any employer ~~who~~ THAT has received a citation for a serious
33 violation of this article shall be assessed a civil penalty for each such
34 violation of not more than the maximum civil penalty for serious
35 violations adopted by the United States occupational safety and health
36 administration pursuant to the federal civil penalties inflation
37 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

38 C. Any employer that has received a citation for a nonserious
39 violation of this article may be assessed a civil penalty for each such
40 violation of not more than the maximum civil penalty for nonserious
41 violations adopted by the United States occupational safety and health
42 administration pursuant to the federal civil penalties inflation
43 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599).

44 D. Any employer that fails to correct a violation for which PERIOD
45 a citation has been issued within the abatement period allowed for its
46 correction, which shall be suspended in case of a review proceeding before
47 an administrative law judge or the review board initiated by the employer

1 in good faith and not solely for delay or avoidance of penalties, may be
2 assessed a civil penalty of not more than the maximum civil penalty for
3 abatement violations adopted by the United States occupational safety and
4 health administration pursuant to the federal civil penalties inflation
5 adjustment act improvements act of 2015 (P.L. 114-74; 129 Stat. 599) for
6 each day during which such failure or violation continues after the
7 abatement date.

8 E. Any employer that knowingly violates the requirements of section
9 23-403 or any standard or regulation adopted pursuant to section 23-410 or
10 23-414 or this article and that violation causes death to an employee is
11 guilty of a class 6 felony, except that if the conviction is for a second
12 or subsequent violation the employer is guilty of a class 5 felony.

13 F. Any person who knowingly gives advance notice of any inspection
14 to be conducted under this article without authority from the ~~director~~
15 ~~CHIEF~~ is guilty of a class 2 misdemeanor.

16 G. A person who knowingly makes any false statement, representation
17 or certification in any application, record, report, plan or other
18 document filed or required to be maintained pursuant to this article is
19 guilty of a class 2 misdemeanor.

20 H. Any employer that violates any of the posting requirements of
21 this article shall be assessed a civil penalty for each violation of not
22 more than the maximum civil penalty for posting violations adopted by the
23 United States occupational safety and health administration pursuant to
24 the federal civil penalties inflation adjustment act improvements act of
25 2015 (P.L. 114-74; 129 Stat. 599).

26 I. The commission shall have authority to assess all civil
27 penalties provided in this section, giving due consideration to the
28 appropriateness of the penalty with respect to the gravity of the
29 violation, the number of employees employed by the employer, the good
30 faith of the employer and the history of previous violations under this
31 article.

32 J. Civil penalties owed under this article shall be paid to the
33 commission for deposit in the state general fund. After an order or
34 decision on a civil penalty becomes final pursuant to section 23-417,
35 23-421 or 23-423, the civil penalty shall act as a judgment against the
36 employer. The commission shall file the civil penalty in the office of
37 the clerk of the superior court in any county in this state and the clerk
38 shall enter the civil penalty in the civil order book and judgment docket.
39 When the civil penalty is filed and entered it is a lien for eight years
40 after the date of the final order or decision on the property of the
41 employer located in the county. Execution may issue on the civil penalty
42 within eight years in the same manner and with like effect as a judgment
43 of the superior court. The civil penalty judgment shall accrue interest
44 pursuant to section 44-1201. The commission may recover reasonable
45 attorney fees incurred pursuant to this section.

46 Sec. 11. Section 23-423, Arizona Revised Statutes, is amended to
47 read:

1 23-423. Review board rights and procedures; definition

2 A. A request for review to the review board shall be filed with the
3 commission within fifteen days after the date the decision was mailed or
4 ~~e-mailed~~ EMAILED to the parties and copies of the request shall be mailed
5 to all other parties to the proceeding before the administrative law
6 judge. ~~For the purposes of this section, "filed" means deposited in the~~
7 ~~United States mail, postage prepaid or actually received by the~~
8 ~~commission.~~

9 B. The request for review shall state the grounds for review and
10 whether oral argument is requested.

11 C. When review has been requested, the record of such oral
12 proceedings at the hearing before the administrative law judge for
13 purposes of the review shall be transcribed at the expense of the party
14 requesting review. The record shall be certified to be true and correct
15 by the office of administrative hearings.

16 D. The board shall give the parties notice of review by mail or
17 ~~e-mail~~ EMAIL.

18 E. If oral argument is requested, a hearing date shall be
19 established and notice of the hearing date will be sent with the notice of
20 review to the parties.

21 F. The review of the board shall be based on the record submitted
22 to it under subsection C of this section and such oral argument as may be
23 requested and received. If the board determines that a case has been
24 improperly, incompletely or otherwise insufficiently developed or heard by
25 the administrative law judge, it may remand the case to the administrative
26 law judge for further evidence taking, correction or other necessary
27 action.

28 G. The board may affirm, reverse, modify or supplement the decision
29 of the administrative law judge and make such disposition of the case as
30 it determines to be appropriate. The board shall make a decision within
31 thirty days after review has been submitted.

32 H. The decision of the board shall be filed with the commission and
33 a copy of the decision sent by mail or ~~e-mail~~ EMAIL to the parties. All
34 decisions of the review board shall be in writing. Decisions of the
35 review board shall be made by a majority vote of the review board. A
36 decision of the review board is binding on the ~~director~~ CHIEF and the
37 division with respect to the parties involved in the particular appeal.
38 The ~~director~~ CHIEF shall have the right to seek judicial review of a
39 review board decision irrespective of whether or not the ~~director~~ CHIEF
40 appeared or participated in the appeal to the review board.

41 I. The decision of the board is final unless within ten days after
42 the date of service of copies of such decision on the parties, one of the
43 parties applies to the court of appeals for a writ of certiorari to review
44 the lawfulness of the decision. A copy of such application shall be
45 forthwith transmitted to the clerk of the court, to the review board, to
46 the commission and to the other parties and within ten days therefrom, the
47 commission shall certify the record, proceedings and evidence before the

1 administrative law judge and the review board to the court of appeals. On
2 such filing, the court shall have jurisdiction of the proceedings and of
3 the question determined therein, and shall have power to make and enter on
4 the pleadings, testimony and proceedings set forth in such record a decree
5 affirming, modifying or setting aside in whole or in part, the order of
6 the review board and enforcing the same to the extent that such order is
7 affirmed or modified. The commencement of proceedings under this
8 subsection does not, unless ordered by the court, operate as a stay of the
9 order of the review board. No objection that has not been urged before
10 the review board shall be considered by the court, unless the failure or
11 neglect to urge such objection shall be excused because of extraordinary
12 circumstances. The findings of the review board with respect to questions
13 of fact, if supported by substantial evidence on the record considered as
14 a whole, shall be conclusive. If any party applies to the court for leave
15 to adduce additional evidence and shows to the satisfaction of the court
16 that such additional evidence is material and that there were reasonable
17 grounds for the failure to adduce such evidence in the hearing before the
18 administrative law judge, the court may order such additional evidence to
19 be taken before the administrative law judge and to be made a part of the
20 record. Petitions filed under this subsection shall be heard
21 expeditiously and the decision of the review board shall contain a
22 statement of this right of appeal.

23 J. FOR THE PURPOSES OF THIS SECTION, "FILED" MEANS DEPOSITED IN THE
24 UNITED STATES MAIL, POSTAGE PREPAID, OR ACTUALLY RECEIVED BY THE
25 COMMISSION.

26 Sec. 12. Section 23-426, Arizona Revised Statutes, is amended to
27 read:

28 23-426. Confidentiality of trade secrets

29 All information reported to or likewise obtained by the commission
30 or its representatives in connection with any inspection or investigation
31 under this article ~~which~~ THAT contains or ~~which~~ THAT might reveal a trade
32 secret shall be considered confidential for the purpose of this article,
33 except that such information may be disclosed to other representatives of
34 the division or commission concerned with carrying out this article or
35 when relevant in any proceeding under this article. In any such
36 proceeding, the ~~director~~ CHIEF, the commission, the administrative law
37 judge, the review board or the courts shall issue orders as may be
38 appropriate to protect the confidentiality of trade secrets.

39 Sec. 13. Section 23-428, Arizona Revised Statutes, is amended to
40 read:

41 23-428. State legal representation

42 A. The office of the chief counsel of the industrial commission of
43 Arizona may appear for and represent the commission or the ~~director~~ CHIEF
44 or ~~his~~ THE CHIEF'S authorized representative in any civil litigation
45 brought under this article.

46 B. In any criminal proceeding initiated under this article, the
47 office of the chief counsel of the industrial commission of Arizona may

1 appear for, represent and prosecute in the name of ~~the~~ THIS state ~~of~~
2 ~~Arizona~~.

3 Sec. 14. Section 23-433, Arizona Revised Statutes, is amended to
4 read:

5 23-433. Consulting program

6 A. The division shall develop a consulting program ~~utilizing~~ THAT
7 USES visits to the workplace of employers to provide consultation and
8 advice to such employers. Such visits:

9 1. May be conducted only ~~upon~~ ON request by an employer for
10 consultation and advice on the interpretation or applicability of
11 standards, possible alternative ways of complying with applicable
12 standards or other matters related to accident prevention, occupational
13 health or obligations pursuant to this article.

14 2. Shall be limited to matters specified in the request.

15 B. If, after evaluating such request, the ~~director~~ CHIEF determines
16 an alternative means of providing consultation is more appropriate and
17 equally effective, ~~he~~ THE CHIEF may provide such alternative means rather
18 than consultation at the workplace.

19 C. The ~~director~~ CHIEF shall make recommendations regarding
20 solutions to matters within the scope of the workplace consultation.

21 D. No visit pursuant to this section shall be regarded as an
22 inspection or investigation pursuant to section 23-415. No citation shall
23 be issued nor shall any civil penalties be proposed ~~upon~~ ON such visit,
24 except that ~~nothing in~~ this section ~~shall~~ DOES NOT affect in any manner
25 any provision of this article the purpose of which is to eliminate
26 imminent danger violations.

27 Sec. 15. Section 23-471, Arizona Revised Statutes, is amended to
28 read:

29 23-471. Definitions

30 In this article, unless the context otherwise requires:

31 1. "Authorized representative" means the ~~boiler chief and~~ boiler
32 inspector employed by the division.

33 2. "Boiler" means a closed vessel in which water or other liquid is
34 heated, steam or vapor is generated or steam or vapor is superheated, or
35 any combination thereof, under pressure or vacuum for a use that is
36 external to itself, by the direct application of heat from the combustion
37 of fuels or from electricity.

38 3. "Certificate" means a certificate of competency.

39 4. "Certificate inspection" means an internal inspection, when
40 construction permits, otherwise it means as complete an inspection as
41 possible.

42 5. "CHIEF" MEANS THE CHIEF OF THE DIVISION.

43 ~~5.~~ 6. "Commission" means the industrial commission of Arizona.

44 ~~6. "Director" means the director of the division of occupational~~
45 ~~safety and health.~~

46 7. "Division" means the BOILER division of ~~occupational safety and~~
47 ~~health of~~ the commission.

1 8. "Heating boilers" means a steam or vapor boiler operating at a
2 pressure not exceeding fifteen pounds per square inch or a hot water
3 boiler operating at a pressure not exceeding one hundred sixty pounds per
4 square inch or a temperature not exceeding two hundred fifty degrees
5 Fahrenheit.

6 9. "High temperature water boiler" means a water boiler intended
7 for operation at pressures in excess of one hundred sixty pounds per
8 square inch or temperatures in excess of two hundred fifty degrees
9 Fahrenheit.

10 10. "Interested party" means the commission, agents of the
11 commission and any owner or operator who has been issued a notice of
12 violation.

13 11. "Lined hot water heater" means a fired lined water heater with
14 linings providing corrosion resistance for supplying potable hot water for
15 commercial purposes. Lined hot water heaters are exempted when none of
16 the following limitations are exceeded:

17 (a) Heat input of two hundred thousand British thermal units per
18 hour.

19 (b) Water temperature of two hundred ten degrees Fahrenheit.

20 (c) Nominal water-containing capacity of one hundred twenty
21 gallons.

22 12. "Owner" or "operator" means any individual or type of
23 organization, including this state and all political subdivisions of this
24 state, that has title to or controls, or has the duty to control, the
25 operation of one or more boilers, pressure vessels or lined hot water
26 heaters.

27 13. "Power boiler" means a boiler in which steam or other vapor is
28 generated at a pressure more than fifteen pounds per square inch.

29 14. "Pressure vessel" means a container for the containment of
30 pressure, either internal or external. The pressure may be obtained from
31 an external source, or by the application of heat from a direct or
32 indirect source, or any combination thereof.

33 15. "Process boiler" means a heating boiler or a power boiler used
34 for processing purposes where the make-up water exceeds ten percent.

35 Sec. 16. Section 23-474, Arizona Revised Statutes, is amended to
36 read:

37 23-474. Duties of commission

38 The commission shall:

39 1. Administer this article through the BOILER division ~~of~~
40 ~~occupational safety and health.~~

41 2. Adopt standards and regulations pursuant to section 23-475 and
42 adopt other rules as are necessary.

43 3. Exercise other powers as are necessary to carry out the duties
44 and requirements of this article.

45 Sec. 17. Section 23-477, Arizona Revised Statutes, is amended to
46 read:

47 23-477. Notice requesting investigation

1 A. Any person may make a request for an investigation by the
2 division into alleged violations of section 23-473 by giving notice to the
3 ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative of such
4 violation or danger. Such notice shall be reduced to writing, set forth
5 with reasonable particularity the grounds for the notice and be signed.

6 B. If, ~~upon~~ ON receipt of such notification, the ~~director~~ CHIEF
7 determines that there are reasonable grounds to believe that such
8 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
9 pursuant to this article as soon as practicable to determine if such
10 violation or danger exists. If the ~~director~~ CHIEF determines there are no
11 reasonable grounds to believe that a violation or danger exists, the
12 ~~director~~ CHIEF shall notify the requesting party in writing of such
13 determination.

14 Sec. 18. Section 23-478, Arizona Revised Statutes, is amended to
15 read:

16 23-478. Enforcement

17 A. If the division, following an inspection or investigation
18 determines that there is reasonable cause to believe that there exists a
19 violation of a standard or regulation the division shall issue a notice of
20 violation directing any repairs, improvements, changes or additions
21 necessary to eliminate the hazard. Each notice of violation shall be in
22 writing, delivered either by mail or in person and shall contain the
23 following:

24 1. A particular description of the nature of the violation,
25 including a reference to the provision of this article or of any standard
26 or regulation alleged to have been violated.

27 2. A reasonable time for the abatement of the violation.

28 B. Each notice of violation issued pursuant to this section or a
29 copy or copies of such notice of violation shall be prominently posted at
30 or near each place a violation referred to in the notice of violation
31 existed.

32 C. If in the opinion of the ~~director~~ CHIEF or the ~~director's~~
33 CHIEF'S authorized representative the continued operation of the defective
34 boiler, pressure vessel or lined hot water heater constitutes an immediate
35 danger to the safety of the occupants of the establishment or the persons
36 operating such boiler, pressure vessel or lined hot water heater the
37 ~~director~~ CHIEF or ~~director's~~ CHIEF'S authorized representative may condemn
38 such device and require the boiler, pressure vessel or lined hot water
39 heater to be returned to a condition allowing safe operation before use of
40 the boiler, pressure vessel or lined hot water heater is resumed.

41 D. On failure of an owner or operator to comply with either the
42 requirements of a notice of violation issued pursuant to subsection A of
43 this section or condemnation pursuant to ~~this~~ subsection C OF THIS
44 SECTION, the commission may file an action in the superior court in the
45 county where the violation occurred to enjoin the owner or operator from
46 engaging in further acts in violation of the requirements of the notice of
47 violation or the condemnation. Any person found to be in contempt of an

1 injunctive order of the court shall be fined not less than ~~fifty~~ \$50 nor
2 more than ~~three hundred dollars~~ \$300 with each day of violation
3 constituting a separate contempt.

4 Sec. 19. Section 23-491, Arizona Revised Statutes, is amended to
5 read:

6 23-491. Definitions

7 In this article, unless the context otherwise requires:

8 1. "Authorized representative" means the ~~elevator chief and~~
9 elevator inspector employed by the division.

10 2. "Certificate" means a certificate of inspection issued by the
11 division.

12 3. "CHIEF" MEANS THE CHIEF OF THE DIVISION.

13 ~~3.~~ 4. "Commission" means the industrial commission of Arizona.

14 ~~4.~~ 5. "Conveyance":

15 (a) Means an elevator, dumbwaiter, escalator, moving walk, manlift,
16 personnel hoist, material hoist, stage lift and special purpose personnel
17 elevator. ~~, excluding~~

18 (b) DOES NOT INCLUDE conveyances located at mines ~~and~~ THAT ARE
19 subject to regulation and inspection by the state mine inspector pursuant
20 to title 27, chapter 3.

21 ~~5. "Director" means the director of the division of occupational~~
22 ~~safety and health.~~

23 6. "Division" means the ELEVATOR division ~~of occupational safety~~
24 ~~and health~~ of the ~~industrial~~ commission.

25 7. "Dumbwaiter" means a hoisting and lowering mechanism with a car
26 of limited capacity and size that moves in guides in a substantially
27 vertical direction and that is used exclusively for carrying material.

28 8. "Elevator" means a hoisting and lowering mechanism equipped with
29 a car or platform that moves in guides in substantially vertical direction
30 and that serves two or more floors of a building or structure.

31 9. "Elevator company" means a person that is engaged in the
32 business of erecting, constructing, installing, altering, servicing,
33 repairing or maintaining conveyances.

34 10. "Escalator" means a ~~power-driven~~ POWER-DRIVEN, inclined,
35 continuous stairway used for raising or lowering passengers.

36 11. "Interested party" means the commission and its agents and the
37 owner or operator who has been issued a correction order.

38 12. "Manlift" means a device ~~consisting~~ THAT CONSISTS of a ~~power~~
39 ~~driven~~ POWER-DRIVEN endless belt moving in one direction only and provided
40 with steps or platforms and attached handholds for the transportation of
41 personnel from floor to floor.

42 13. "Material hoist" means a hoist for raising and lowering
43 materials only and prohibiting the hoisting of persons.

44 14. "Moving walk" means a type of ~~passenger-carrying~~
45 PASSENGER-CARRYING device on which passengers stand or walk and in which
46 the ~~passenger-carrying~~ PASSENGER-CARRYING surface remains parallel to its
47 direction of motion and is uninterrupted.

1 15. "Owner" or "operator":
2 (a) Means an individual or organization, including this state and
3 all political subdivisions of this state, ~~who~~ THAT has title to, controls
4 or has the duty to control the operation of one or more conveyances. ~~;~~ ~~but~~
5 ~~shall~~
6 (b) DOES not include an individual or organization THAT IS engaged
7 in mining or metallurgical operations AND whose operation is subject to
8 regulation and inspection by the state mine inspector pursuant to title
9 27, chapter 3.
10 16. "Personnel hoist":
11 (a) Means a mechanism ~~for use~~ THAT IS USED in connection with the
12 construction, alteration, maintenance or demolition of a building,
13 structure or other work, THAT IS used for hoisting and lowering workers
14 and materials and THAT IS equipped with a car that moves on guide members
15 during its vertical movement. ~~The term~~
16 (b) Includes a hoistway of a personnel hoist.
17 17. "Private elevator inspector" means an individual who is
18 authorized by the commission under section 23-491.16 to conduct
19 inspections under this article.
20 18. "Special purpose personnel elevator" means a passenger, ~~hand~~
21 ~~powered~~ HAND-POWERED, counterweighted device or an ~~electric powered~~
22 ELECTRIC-POWERED device that travels vertically in guides and that serves
23 two or more landings.
24 19. "Stage lift" means a hoisting and lowering mechanism equipped
25 with a platform that moves in guides in a substantially vertical direction
26 and that serves one or more landings.
27 Sec. 20. Section 23-491.03, Arizona Revised Statutes, is amended to
28 read:
29 23-491.03. Existing conveyances
30 Existing conveyances lawfully installed ~~prior to~~ BEFORE the
31 effective date of this article may continue in use if the use is, in the
32 opinion of the ~~director~~ CHIEF, not a hazard to life, health or property.
33 Sec. 21. Section 23-491.04, Arizona Revised Statutes, is amended to
34 read:
35 23-491.04. Commission powers and duties
36 A. The commission shall:
37 1. Administer this article through the division ~~of occupational~~
38 ~~safety and health~~.
39 2. ~~Promulgate~~ ADOPT standards and regulations pursuant to section
40 23-491.06 as required and ~~promulgate~~ ADOPT such other rules and
41 regulations and exercise such other powers as are necessary to carry out
42 this article.
43 B. The commission, by rule and regulation, may set fees not to
44 exceed the actual cost for inspections performed pursuant to this article.
45 Sec. 22. Section 23-491.08, Arizona Revised Statutes, is amended to
46 read:

1 23-491.08. Notice requesting investigation; confidentiality;
2 determination of grounds

3 A. Any person may make a request for an investigation by the
4 division into alleged violations of section 23-491.02 by giving notice to
5 the ~~director~~ CHIEF or the ~~director's~~ CHIEF'S authorized representative of
6 such violation or danger. Such notice shall be in writing, shall set
7 forth with reasonable particularity the grounds for the notice and shall
8 be signed by the person making the request. ~~Upon~~ ON the request of the
9 person signing the notice, such person's name shall not appear on any copy
10 of such notice or any record published, released or made available.

11 B. If ~~upon~~ ON receipt of such notification the ~~director~~ CHIEF
12 determines that there are reasonable grounds to believe that such
13 violation or danger exists, the ~~director~~ CHIEF shall make an investigation
14 in accordance with ~~the provisions of~~ this article as soon as practicable
15 to determine if such violation or danger exists. If the ~~director~~ CHIEF
16 determines there are no reasonable grounds to believe that a violation or
17 danger exists, the ~~director~~ CHIEF shall notify the requesting party in
18 writing of such a determination.

19 Sec. 23. Section 23-491.09, Arizona Revised Statutes, is amended to
20 read:

21 23-491.09. Enforcement

22 A. If the division, following an inspection or investigation,
23 determines that there is reasonable cause to believe that there is a
24 violation of a standard or regulation, the division shall issue a
25 correction order directing any repairs, improvements, changes or additions
26 necessary to eliminate the hazard. Each correction order shall be in
27 writing, delivered either by mail or in person and shall contain the
28 following:

29 1. A particular description of the nature of the violation,
30 including a reference to the provision of this article or of any standard
31 or regulation alleged to have been violated.

32 2. A reasonable time for the abatement of the violation.

33 B. No correction order may be issued after the expiration of a
34 period of six months from the date of the inspection or investigation
35 ~~which~~ THAT produced evidence of the violation.

36 C. If, in the opinion of the ~~director~~ CHIEF or the ~~director's~~
37 CHIEF'S authorized representative, the continued operation of the
38 defective device constitutes an immediate danger to the safety of the
39 persons operating or being conveyed by such device, the ~~director~~ CHIEF or
40 the ~~director's~~ CHIEF'S authorized representative may condemn such device
41 and require it to be returned to a condition allowing safe operation
42 before its use is resumed.

43 D. ~~Upon~~ ON failure of an owner or operator to comply with either
44 the requirements of a correction order issued pursuant to subsection A ~~OF~~
45 ~~THIS SECTION~~ or condemnation pursuant to ~~this~~ subsection C ~~OF THIS~~
46 ~~SECTION~~, the commission may file an action in the superior court ~~of~~ IN the
47 county where the violation occurred to enjoin the owner or operator from

1 engaging in further acts in violation of the requirements of the
2 correction order or the condemnation. Any person found to be in contempt
3 of an injunctive order of the court shall be fined not less than ~~fifty~~ \$50
4 nor more than ~~three hundred dollars~~ \$300 with each day of violation
5 constituting a separate contempt.

6 Sec. 24. Section 23-1065, Arizona Revised Statutes, is amended to
7 read:

8 23-1065. Special fund; purposes; investment committee

9 A. The ~~industrial~~ commission may direct the payment into the state
10 treasury of not to exceed one percent of all premiums received by private
11 insurance carriers during the immediately preceding calendar year. The
12 same percentage shall be assessed against self-insurers based on the total
13 cost to the self-insured employer as provided in section 23-961,
14 subsection G. Such assessments shall be computed on the same premium
15 basis as provided for in section 23-961, subsections G, H, J, K and L and
16 shall be ~~no~~ NOT more than is necessary to keep the special fund
17 actuarially sound. Such payments shall be placed in a special fund within
18 the administrative fund to provide, at the discretion of the commission,
19 such additional awards as may be necessary to enable injured employees to
20 accept the benefits of any law of this state or of the United States, or
21 both jointly, for promotion of vocational rehabilitation of persons with
22 disabilities in industry.

23 B. In claims involving an employee who has a preexisting
24 ~~industrially-related~~ INDUSTRIALLY RELATED permanent physical impairment of
25 the type specified in section 23-1044, subsection B and who thereafter
26 suffers an additional permanent physical impairment of the type specified
27 in such subsection, the claim involving the subsequent impairment is
28 eligible for reimbursement, as provided by subsection D of this section,
29 according to the following:

30 1. The employer in whose employ the subsequent impairment occurred
31 or its insurance carrier is solely responsible for all temporary
32 disability compensation to which the employee is entitled and for an
33 amount equal to the permanent disability compensation provided by section
34 23-1044, subsection B for the subsequent impairment. If the employee is
35 determined to have sustained no loss of earning capacity after the
36 medically stationary date, the employer or carrier shall pay ~~him~~ THE
37 EMPLOYEE as a vocational rehabilitation bonus the amount calculated under
38 this paragraph as a lump sum, which shall be a credit against any
39 permanent compensation benefits awarded in any subsequent proceeding. The
40 amount of the vocational rehabilitation bonus for which the employer or
41 carrier is responsible under this paragraph shall be calculated solely on
42 physical, medically rated permanent impairment and not on occupational or
43 other factors.

44 2. If the commission determines that the employee is entitled to
45 compensation for loss of earning capacity under section 23-1044,
46 subsection C or permanent total disability under section 23-1045,
47 subsection B, the total amount of permanent benefits for which the

1 employer or carrier is solely responsible under paragraph 1 of this
2 subsection shall be expended first, with monthly payments made according
3 to the loss of earning capacity or permanent total disability award. The
4 employer or carrier and the special fund are equally responsible for the
5 remaining amount of compensation for loss of earning capacity under
6 section 23-1044, subsection C or permanent total disability under section
7 23-1045, subsection B. This paragraph ~~shall~~ DOES not ~~be construed as~~
8 ~~requiring~~ REQUIRE payment of any benefits under section 23-1044,
9 subsection B in any case in which an employee is entitled to benefits for
10 loss of earning capacity under section 23-1044, subsection C or permanent
11 total disability benefits under section 23-1045, subsection B.

12 C. In claims involving an employee who has a preexisting physical
13 impairment that is not ~~industrially-related~~ INDUSTRIALLY RELATED and,
14 whether congenital or due to injury or disease, is of such seriousness as
15 to constitute a hindrance or obstacle to employment or to obtaining
16 reemployment if the employee becomes unemployed, and the impairment equals
17 or exceeds a ten percent permanent impairment evaluated in accordance with
18 the American medical association guides to the evaluation of permanent
19 impairment, and the employee thereafter suffers an additional permanent
20 impairment not of the type specified in section 23-1044, subsection B, the
21 claim involving the subsequent impairment is eligible for reimbursement,
22 as provided by subsection D of this section, under the following
23 conditions:

24 1. The employer in whose employ the subsequent impairment occurred
25 or its carrier is solely responsible for all temporary disability
26 compensation to which the employee is entitled.

27 2. The employer had knowledge of the permanent impairment at the
28 time the employee was hired, or that the employee continued in employment
29 after the employer acquired such knowledge.

30 3. The employee's preexisting impairment is due to one or more of
31 the following:

32 (a) Epilepsy.

33 (b) Diabetes.

34 (c) Cardiac disease.

35 (d) Arthritis.

36 (e) Amputated foot, leg, arm or hand.

37 (f) Loss of sight of one or both eyes or a partial loss of
38 uncorrected vision of more than seventy-five percent bilaterally.

39 (g) Residual disability from poliomyelitis.

40 (h) Cerebral palsy.

41 (i) Multiple sclerosis.

42 (j) Parkinson's disease.

43 (k) Cerebral vascular accident.

44 (l) Tuberculosis.

45 (m) Silicosis.

46 (n) Psychoneurotic disability following treatment in a recognized
47 medical or mental institution.

- 1 (o) Hemophilia.
- 2 (p) Chronic osteomyelitis.
- 3 (q) Hyperinsulinism.
- 4 (r) Muscular dystrophies.
- 5 (s) Arteriosclerosis.
- 6 (t) Thrombophlebitis.
- 7 (u) Varicose veins.
- 8 (v) Heavy metal poisoning.
- 9 (w) Ionizing radiation injury.
- 10 (x) Compressed air sequelae.
- 11 (y) Ruptured intervertebral disk.

12 4. The employer or carrier and the special fund are equally
13 responsible for the amount of compensation for loss of earning capacity
14 under section 23-1044, subsection C or permanent total disability under
15 section 23-1045, subsection B.

16 D. The employer or insurance carrier shall notify the commission of
17 its intent to claim reimbursement for an eligible claim under subsection B
18 or C of this section not later than the time the employer or insurance
19 carrier notifies the commission pursuant to section 23-1047, subsection A.
20 ~~Upon~~ ON receiving notice the commission may expend funds from the special
21 fund created by this section for travel and discovery procedures and for
22 the employment of such independent legal, medical, rehabilitation, claims
23 or labor market consultants or experts as may be deemed necessary by the
24 commission to assist in the determination of the liability of the special
25 fund, if any, under subsection B or C of this section. In the event there
26 is any dispute regarding liability to the special fund pursuant to
27 subsection B or C of this section, the commission shall not delay the
28 issuance of a permanent award pursuant to section 23-1047, subsection B.

29 E. If the special fund created by this section is determined to be
30 liable under either subsection B or C of this section, the employer or
31 insurance carrier that is primarily liable shall pay the entire amount of
32 the award to the injured employee and the commission shall by rule provide
33 for the reimbursement of the employer or insurance carrier on an annual
34 basis. In any case arising out of subsection B or C of this section, the
35 written approval of the special fund is required for the compromise of any
36 claim made pursuant to section 23-1023. In any such case, written
37 approval shall not be unreasonably withheld by the special fund, carrier,
38 self-insured employer or other person responsible for the payment of
39 compensation. Failure to obtain the written approval of the special fund
40 shall not cause the injured worker to lose any benefits but ends the
41 special fund's liability for reimbursement and makes the employer or
42 carrier solely responsible for the payment of the remaining benefits.

43 F. The employer or insurance carrier shall make its claim for
44 reimbursement to the commission not later than November 1 each year, for
45 payments made pursuant to subsection B or C of this section during the
46 twelve months before October 1 each year. Claims shall be paid before
47 December 31 each year. If the total annual reserved liabilities of the

1 special fund obligated under subsections B and C of this section exceed
2 ~~six million dollars~~ \$6,000,000, as determined by the annual actuarial
3 study performed pursuant to subsection I of this section, the commission,
4 after notice and a hearing, may levy an additional assessment under
5 subsection A of this section of up to one-half percent to meet such
6 liabilities. Any insurance carrier or employer ~~who~~ THAT may be adversely
7 affected by the additional assessment may at any time before the sixtieth
8 day after such additional assessment is ordered file a complaint
9 challenging the validity of the additional assessment in the superior
10 court in Maricopa county for a judicial review of the additional
11 assessment. On judicial review the determination of the commission shall
12 be upheld if supported by substantial evidence in the record considered as
13 a whole.

14 G. In the event the injured employee is awarded additional
15 compensation, under subsection A of this section, the commission retains
16 jurisdiction to amend, alter or change the award ~~upon~~ ON a change in the
17 physical condition of the injured employee resulting from the injury.

18 H. On receiving notice that the special fund may be liable under
19 this chapter, the commission may spend monies from the special fund
20 established by this section for expenses that are necessary to assist in
21 the processing, payment or determination of liability of the fund. These
22 expenses may include travel, discovery procedures and employing any legal,
23 medical, rehabilitation, claims or labor market consultant, examiner or
24 expert.

25 I. The commission shall cause an annual actuarial study of the
26 special award fund to be made by a qualified actuary who is a member of
27 the society of actuaries. The actuary shall make specific recommendations
28 for maintaining the fund on a sound actuarial basis. The actuarial study
29 shall be completed on or before September 1.

30 J. The special fund of the commission consists of all monies from
31 premiums and assessments, except penalties assessed pursuant to this
32 chapter, received and paid into the fund, property and securities acquired
33 by the use of monies in the fund, interest earned on monies in the fund
34 and other monies derived from the sale, use or lease of properties
35 belonging to the fund. The special fund created by this section shall be
36 administered by the director of the ~~industrial~~ commission, subject to the
37 authority of the ~~industrial~~ commission. The director of the commission
38 with approval of the investment committee, in the administration of the
39 special fund, may provide loans, subject to repayment, budgetary review
40 and legislative appropriation, to the administrative fund for the purposes
41 and subject to section 23-1081, acquire real property and acquire or
42 construct a building or other improvements on the real property as may be
43 necessary to house, contain, furnish, equip and maintain offices and space
44 for departmental and operational facilities of the commission. The
45 commission, when using space constructed pursuant to this section, shall
46 make equal payments of rent on a semiannual basis, which shall be
47 deposited in the special fund. The investment committee shall determine

1 the amount of the rent, which must be at least equal to or greater than
2 that determined by the joint committee on capital review for buildings of
3 similar design and construction as provided by section 41-792.01.

4 K. There is established an investment committee consisting of the
5 director and the chairman of the commission and three persons
6 knowledgeable in investments and economics appointed by the governor. Of
7 the members appointed by the governor, one shall be a professional in the
8 investment business, one shall represent workers' compensation insurers
9 and one shall represent self-insurers. The term of members appointed by
10 the governor is three years, which shall begin on July 1 and end on June
11 30 three years later. The committee shall prescribe by rule investment
12 policies and supervise the investment activities of the special fund.

13 L. Each member of the investment committee, other than the director
14 of the commission, is eligible to receive from the special fund:

15 1. Compensation of ~~fifty dollars~~ \$50 for each day while in actual
16 attendance at meetings of the investment committee.

17 2. Reimbursement for expenses pursuant to title 38, chapter 4,
18 article 2.

19 M. The investment committee shall meet at least once every month.

20 N. The investment committee shall periodically review and assess
21 the investment strategy.

22 O. The investment committee, by resolution, may invest and reinvest
23 the surplus or reserves in the funds established under this chapter in any
24 legal investments authorized under section 38-718.

25 P. In addition to the investments authorized under section 38-718,
26 the investment committee may approve the investment in real property and
27 improvements on real property to house and maintain offices of the
28 commission, including spaces for its departmental and operational
29 facilities. Title to the real estate and improvements on the real estate
30 vests in the special fund of the commission, and the assets become part of
31 the fund as provided by this section.

32 Q. The investment committee may appoint a custodian for the
33 safekeeping of all or any portion of the investments owned by the special
34 fund of the commission and may register stocks, bonds and other
35 investments in the name of a nominee. Except for investments held by a
36 custodian or in the name of a nominee, all securities purchased pursuant
37 to subsection O of this section shall promptly be deposited with the state
38 treasurer as custodian thereof, who shall collect the dividends, interest
39 and principal thereof, and pay, when collected, into the special
40 fund. The state treasurer shall pay all vouchers drawn for the purchase
41 of securities. The director may sell any of the securities as the
42 director deems appropriate, if authorized by resolution of the investment
43 committee, and the proceeds therefrom shall be payable to the state
44 treasurer for the account of the special fund ~~upon~~ ON delivery of the
45 securities to the purchaser or the purchaser's agent.

1 Sec. 25. Section 41-1005, Arizona Revised Statutes, is amended to
2 read:

3 41-1005. Exemptions

4 A. This chapter does not apply to any:

5 1. Rule that relates to the use of public works, including streets
6 and highways, under the jurisdiction of an agency if the effect of the
7 order is indicated to the public by means of signs or signals.

8 2. Order or rule of the Arizona game and fish commission that does
9 the following:

10 (a) Opens, closes or alters seasons or establishes bag or
11 possession limits for wildlife.

12 (b) Establishes a fee pursuant to section 5-321, 5-322 or 5-327.

13 (c) Establishes a license classification, fee or application fee
14 pursuant to title 17, chapter 3, article 2.

15 (d) Limits the number or use of licenses or permits that are issued
16 to nonresidents pursuant to section 17-332.

17 3. Rule relating to section 28-641 or to any rule regulating motor
18 vehicle operation that relates to speed, parking, standing, stopping or
19 passing enacted pursuant to title 28, chapter 3.

20 4. Rule concerning only the internal management of an agency that
21 does not directly and substantially affect the procedural or substantive
22 rights or duties of any segment of the public.

23 5. Rule that only establishes specific prices to be charged for
24 particular goods or services sold by an agency.

25 6. Rule concerning only the physical servicing, maintenance or care
26 of agency owned or operated facilities or property.

27 7. Rule or substantive policy statement concerning inmates or
28 committed youths of a correctional or detention facility in secure custody
29 or patients admitted to a hospital if made by the state department of
30 corrections, the department of juvenile corrections, the board of
31 executive clemency or the department of health services or a facility or
32 hospital under the jurisdiction of the state department of corrections,
33 the department of juvenile corrections or the department of health
34 services.

35 8. Form whose contents or substantive requirements are prescribed
36 by rule or statute and instructions for the execution or use of the form.

37 9. Capped fee-for-service schedule adopted by the Arizona health
38 care cost containment system administration pursuant to title 36,
39 chapter 29.

40 10. Fees prescribed by section 6-125.

41 11. Order of the director of water resources adopting or modifying
42 a management plan pursuant to title 45, chapter 2, article 9.

43 12. Fees established under section 3-1086.

44 13. Fees established under sections 41-4010 and 41-4042.

45 14. Rule or other matter relating to agency contracts.

46 15. Fees established under section 32-2067 or 32-2132.

47 16. Rules made pursuant to section 5-111, subsection A.

- 1 17. Rules made by the Arizona state parks board concerning the
2 operation of the Tonto natural bridge state park, the facilities located
3 in the Tonto natural bridge state park and the entrance fees to the Tonto
4 natural bridge state park.
- 5 18. Fees or charges established under section 41-511.05.
- 6 19. Emergency medical services protocols except as provided in
7 section 36-2205, subsection B.
- 8 20. Fee schedules established pursuant to section 36-3409.
- 9 21. Procedures of the state transportation board as prescribed in
10 section 28-7048.
- 11 22. Rules made by the state department of corrections.
- 12 23. Fees prescribed pursuant to section 32-1527.
- 13 24. Rules made by the department of economic security pursuant to
14 section 46-805.
- 15 25. Schedule of fees prescribed by section 23-908, **EXCEPT THAT THE**
16 **INDUSTRIAL COMMISSION OF ARIZONA MUST POST THE SCHEDULE OF FEES ON ITS**
17 **WEBSITE AND PREPARE AND FILE A NOTICE OF PUBLIC INFORMATION WITH THE**
18 **WEBSITE ADDRESS TO BE PUBLISHED IN THE REGISTER.**
- 19 26. Procedure that is established pursuant to title 23, chapter 6,
20 article 6.
- 21 27. Rules, administrative policies, procedures and guidelines
22 adopted for any purpose by the Arizona commerce authority pursuant to
23 chapter 10 of this title if the authority provides, as appropriate under
24 the circumstances, for notice of an opportunity for comment on the
25 proposed rules, administrative policies, procedures and guidelines.
- 26 28. Rules made by a marketing commission or marketing committee
27 pursuant to section 3-414.
- 28 29. Administration of public assistance program monies authorized
29 for liabilities that are incurred for disasters declared pursuant to
30 sections 26-303 and 35-192.
- 31 30. User charges, tolls, fares, rents, advertising and sponsorship
32 charges, services charges or similar charges established pursuant to
33 section 28-7705.
- 34 31. Administration and implementation of the hospital assessment
35 pursuant to section 36-2901.08, except that the Arizona health care cost
36 containment system administration must provide notice and an opportunity
37 for public comment at least thirty days before establishing or
38 implementing the administration of the assessment.
- 39 32. Rules made by the Arizona department of agriculture to adopt
40 and implement the provisions of the federal milk ordinance as prescribed
41 by section 3-605.
- 42 33. Rules made by the Arizona department of agriculture to adopt,
43 implement and administer the United States food and drug administration
44 produce safety rule (21 Code of Federal Regulations part 112) and any
45 other federal produce safety regulation, order or guideline or other
46 requirement adopted pursuant to the FDA food safety modernization act

1 (P.L. 111-353; 21 United States Code sections 2201 through 2252) as
2 provided by title 3, chapter 3, article 4.1.

3 34. Calculations that are performed by the department of economic
4 security and that are associated with the adjustment of the sliding fee
5 scale and formula for determining child care assistance pursuant to
6 section 46-805.

7 35. Rules made by the Arizona department of agriculture to
8 implement and administer the livestock operator fire and flood assistance
9 grant program established by section 3-109.03.

10 B. Notwithstanding subsection A, paragraph 21 of this section, if
11 the federal highway administration authorizes the privatization of rest
12 areas, the state transportation board shall make rules governing the lease
13 or license by the department of transportation to a private entity for the
14 purposes of privatization of a rest area.

15 C. Coincident with ~~the~~ making ~~of~~ a final rule pursuant to an
16 exemption from the applicability of this chapter under this section,
17 another statute or session law, the agency shall:

18 1. Prepare a notice and follow formatting guidelines prescribed by
19 the secretary of state.

20 2. Prepare the rulemaking exemption ~~notices~~ NOTICE pursuant to
21 chapter 6.2 of this title.

22 3. File ~~a copy of~~ the rule with the secretary of state for
23 publication pursuant to section 41-1012 ~~and provide a copy to the council.~~

24 4. PROVIDE A COPY OF THE RULE TO THE COUNCIL.

25 D. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
26 chapter do not apply to the Arizona board of regents and the institutions
27 under its jurisdiction, except that the Arizona board of regents shall
28 make policies or rules for the board and the institutions under its
29 jurisdiction that provide, as appropriate under the circumstances, for
30 notice of and opportunity for comment on the policies or rules proposed.

31 E. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
32 chapter do not apply to the Arizona state schools for the deaf and the
33 blind, except that the board of directors of all the state schools for the
34 deaf and the blind shall adopt policies for the board and the schools
35 under its jurisdiction that provide, as appropriate under the
36 circumstances, for notice of and opportunity for comment on the policies
37 proposed for adoption.

38 F. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
39 chapter do not apply to the state board of education, except that the
40 state board of education shall adopt policies or rules for the board and
41 the institutions under its jurisdiction that provide, as appropriate under
42 the circumstances, for notice of and opportunity for comment on the
43 policies or rules proposed for adoption. In order to implement or change
44 any rule, the state board of education shall provide at least two
45 opportunities for public comment. The state board of education shall
46 consider the fiscal impact of any proposed rule pursuant to this
47 subsection.

1 G. Unless otherwise required by law, articles 2, 3, 4 and 5 of this
2 chapter do not apply to the state board for charter schools, except that
3 the board shall adopt policies or rules for the board and the charter
4 schools sponsored by the board that provide, as appropriate under the
5 circumstances, for notice of and opportunity for comment on the policies
6 or rules proposed for adoption. In order to implement or change any
7 policy or rule, the board shall provide at least two opportunities for
8 public comment. The state board for charter schools shall consider the
9 fiscal impact of any proposed rule pursuant to this subsection."
10 Amend title to conform

JEFF WENINGER
CHAIRMAN

03/24/2026
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